

THE INDIAN CONTRACT ACT, 1892

An Act to define and amend the law relating to contracts.

WHEREAS it is expedient to define and amend the law relating to contracts;

PART I — PRELIMINARY

CHAPTER I

Preliminary

Section 1.

Short title and commencement.

(1) This Act may be called the Indian Contract Act, 1892.

Section 2.

Definitions.—In this Act, unless there is anything repugnant in the subject or context,—

(a) "promise" means a proposal when accepted by law,

(b) where the proposal is made,

(c) where the acceptance is communicated.

Explanation.—Nothing in this section shall apply to agreements.

Illustration.—A says to B, "I will sell my house for Rs. 1 lakh."

Proviso.—Provided that no suit shall be filed after three years.

CHAPTER II

Of Contracts

Section 3.

Communication of proposals.

(1) The communication of proposals is complete when it reaches the offeree.

(2) The communication of acceptance is complete as against the proposer

when it is put in course of transmission.

Section 4.

When proposals and acceptances are revoked.

(a) where the contract provides for revocation,

(b) where no provision is made.

PART II — PERFORMANCE

CHAPTER III

Of Performance of Contracts

Section 5.

Contracts to be performed.

(1) Promisee must perform the promise.

(2) Promisor may dispense with performance.

Section 6.

Effect of refusing performance.

(a) the promisor refuses to perform.

(b) the performance becomes impossible.

SCHEDULE

LIST OF AMENDMENTS

Section 2 — Amendment of Section 3